

Marvell Technology, Inc.

MRVL NASDAQ

|     |                  |                              |                                     |                         |
|-----|------------------|------------------------------|-------------------------------------|-------------------------|
| Buy | \$263.72 ▲ 2.46% | 12M Price Target<br>\$300.00 | 52-Week Range<br>\$70.69 – \$329.88 | Market Cap<br>\$237.01B |
|-----|------------------|------------------------------|-------------------------------------|-------------------------|

MRVL: 2nm Optical Breakthrough Fuels AI Infrastructure Rally

WHAT HAPPENED

- MRVL just launched the industry's first 2nm optical interconnect — this is a big deal because AI data centers are hitting bandwidth walls, and Marvell is now the go-to shop for moving massive amounts of data between AI chips. The stock is up ~15% in a week on this.
- Options traders are leaning bullish (put/call of 0.52 means nearly 2 calls bought for every put) and there's an unusual buy on the \$350 October calls — someone's betting on more upside.

WHY IT MATTERS

The 2nm optical launch matters because it locks Marvell into the next wave of AI infrastructure buildouts at hyperscalers (Amazon, Microsoft, Google) — these companies are spending \$300B+ combined on AI capex in 2026, and Marvell's chips are the plumbing. The move from \$229 to \$263 in a week tells me institutional buyers are repositioning ahead of the next earnings print, expecting AI revenue guidance to get raised again. Politically, this stock is a beneficiary of the "onshore semiconductor" push — Marvell is a US-designed, US-headquartered chip company, which gives them CHIPS Act funding access and shields them from being on the wrong side of any China tech restrictions. Watch for continued upgrades from sell-side analysts over the next 2 weeks — that's usually what follows a product win like this.

POLICY & POLITICAL WATCH

The big political tailwind here is the ongoing implementation of the CHIPS and Science Act — Marvell is expected to benefit from the domestic advanced packaging and design incentives that are still being disbursed through 2027. On the headwind side, watch the Commerce Department's evolving export controls on advanced chips to China — if optical DSPs (Marvell's specialty) get pulled into the restricted category, that could hit ~15% of revenue. There's also chatter about a bipartisan "AI Infrastructure Investment Act" that would fund federal AI compute buildouts — if that moves forward, custom silicon players like MRVL are direct beneficiaries.

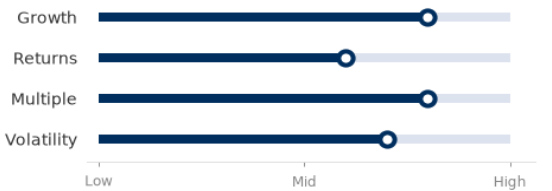
IS IT EXPENSIVE?

At \$263, MRVL trades around 30x forward sales and roughly 84x forward earnings — meaning investors are paying \$84 today for every \$1 of profit expected next year. That's expensive by any normal measure, but AI-exposed peers like AVGO and NVDA trade at similar or richer multiples, so Marvell is actually the "cheaper" way to play AI infrastructure. The valuation is justified ONLY if the custom silicon (ASIC) revenue keeps compounding at 60%+ — miss on that and this thing gets re-rated fast.

Key Data

|                     |           |
|---------------------|-----------|
| Price (USD)         | \$263.72  |
| 12M Price Target    | \$300.00  |
| Upside / (Downside) | +13.8%    |
| Market Cap          | \$237.01B |
| FY2027E Revenue     | \$8,900M  |
| FY2028E Revenue     | \$11,200M |
| FY2027E EPS         | \$3.15    |
| FY2028E EPS         | \$4.60    |
| Fwd P/E             | 83.7x     |

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

| TIMEFRAME | BULL CASE | BASE CASE | BEAR CASE |
|-----------|-----------|-----------|-----------|
| 1 Month   | \$285.00  | \$270.00  | \$240.00  |
| 6 Months  | \$330.00  | \$295.00  | \$230.00  |
| 1 Year    | \$375.00  | \$300.00  | \$210.00  |
| 2 Years   | \$450.00  | \$360.00  | \$200.00  |
| 5 Years   | \$650.00  | \$480.00  | \$180.00  |
| 10 Years  | \$1000.00 | \$700.00  | \$150.00  |

WHAT'S MOVING IN THE SECTOR

**HEATING UP:** Tech (+6.6% over 5 days) is leading, specifically anything AI infrastructure — semis, optical, networking. The tailwind is hyperscaler capex guidance getting bumped higher plus policy support for domestic chip manufacturing.

**COOLING OFF:** Consumer staples and utilities are flat-to-negative — classic "risk-on" rotation where defensive names get sold to fund AI bets.

**ROTATION WATCH:** Money is rotating out of defensive sectors and into AI-picks-and-shovels names. This is a direct tailwind for MRVL because they're literally selling the picks and shovels (custom chips + optical interconnects) to the AI gold rush.

**RELATED PLAY:** If MRVL keeps running, the optical component suppliers (Lumentum, Coherent) and the AI power infrastructure names (Vertiv, Eaton) are the second-order beneficiaries — they build the surrounding gear MRVL's chips need.

WHO'S WINNING IN THIS SPACE?

- AVGO (Broadcom): Winning on the same custom silicon story with Google's TPU program — the bigger, more diversified version of the MRVL trade.
- NVDA (Nvidia): Still the AI kingpin — every hyperscaler capex bump lifts them first.

**MRVL CONTEXT:** MRVL is actually leading its immediate peers this week — up ~15% in 5 days vs. AVGO/NVDA in the low single digits. That tells me the market is finally giving Marvell full credit as a legit AI silicon player, not just a "second-tier" name. The catch-up trade may still have room.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

**CONVICTION:** 8/10 — the product cycle, policy backdrop, and customer wins all line up; I'm not pounding the table only because the stock has already run hard.

**POSITION SIZE:** 3-5% of portfolio — real upside but the volatility (52-week range of \$70 to \$329) tells you this thing swings hard.

**ENTRY POINTS:** I'd add on pullbacks to \$240-250, which is where the 20-day moving average is catching up. Chasing at \$263 works if you're building over time.

**TIME HORIZON:** 12-24 months — the catalyst I'm waiting for is next earnings (custom silicon revenue guide) and any AWS Trainium 3 announcements.

**WHEN TO BAIL:** If they lose a major hyperscaler customer, if China export controls expand to optical DSPs, or if the stock breaks \$210 on high volume — that means the smart money is out.

**HEDGING:** Buy protective puts around \$220 for maybe 0.3% of your position value — cheap insurance against a policy shock. Or pair with a small short in AVGO to isolate the "MRVL beats peers" bet.